

Forests await better compensation

A news item in the Delhi edition of the *Times of India* on December 3, 2024, stated the National Green Tribunal (NGT) had taken *suo motu* cognizance of a report by Global Forest Watch, which pointed out India had lost 2.3 million hectares of forest cover since 2000. That amounted to 6 per cent of tree cover. This “would be almost 15 times the size of Delhi!”

While much of this alarming reduction would be attributed to all-round development efforts, it would also be necessary to point out that India has “Compensatory Afforestation” (CA) policies in place. The question, therefore, is: How effective have these policies been? The Infravision Foundation worked alongside Teri to examine this whole area, including the working of the Compensatory Afforestation Fund Management and Planning Authority (Campa).

The 1972 Stockholm Conference inspired India’s 42nd constitutional amendment in 1976, which emphasised environmental protection through Articles 48(A) and 51(A)(g), shifting forest management to the Concurrent List. The Forest (Conservation) Act, 1980, regulates the diversion of forest land for non-forest purposes. Although CA was not initially included, the concept was introduced in the Forest (Conservation) Rules, 1981, and has since been strengthened through several amendments and guidelines. The Forest (Conservation) Rules, 1981, provided detailed procedures for land diversion, compensatory afforestation, and methods for funds collection and utilisation. The rules have been revised multiple times, with the latest update in 2023.

CA encompasses fresh plantings done in lieu of the diversion of forest land. This also requires transferring non-forest land to the state forest department. While CA aims to balance development with conservation, there is criticism regarding its effectiveness in truly compensating for lost ecosystems and related biodiversities.

Contributors to Campa span diverse sectors, reflecting India’s development priorities. Infrastructure-building agencies feature prominently in this. Industrial enterprises — including mining and manufacturing, and water authorities managing canals and pipelines — also contribute significantly.

Urban-development agencies and strategic entities like oil and gas companies further bolster the fund. While these contributors are essential for financing CA activities, the process has faced significant criticism due to sketchy balance sheet disclosures and inconsistent financial reporting across states.

Challenges in the implementation of CA were last identified in the audit by the Comptroller and Auditor General conducted in 2013. The report reveals serious flaws in its management. From 2006 to 2012, only 27 per cent of non-forest land designated for afforestation was handed over, with afforestation occurring on just 7 per cent of it. Financial discrepancies were glaring, with significant funds and related expenditures unaccounted for. The e-Green Watch system, meant for real-time project monitoring, remained largely non-functional. Weak enforcement mechanisms further enabled unauthorised mining and other encroachments. State Campa guidelines had established a three-tier structure for fund management, involving a governing body, steering committee, and executive committee. Despite these efforts, audits revealed mismanagement, leading to the enactment of the Compensatory Afforestation Fund (CAF) Act in 2016 and its rules in 2018.

The Ministry of Environment,

Forest and Climate Change’s Annual Report 2023-24 highlights the unsatisfactory status of Campa activities, pointing to a significant shortfall in compensatory afforestation achievements. Despite ambitious targets of 56,032 hectares for CA, only 38,892.87 hectares was achieved, leaving a gap of 17,140.04 hectares.

The E-Green Watch portal, intended to ensure transparency in CA, struggles to serve its purpose. Moreover, finding recent data on contributions to Campa by infrastructure developers is nearly impossible. As critics like Patrik Oskarsson and Sarthak Shukla aptly observe in their essay “Missing Trees, Cancelled Rights: Does Compensatory Afforestation Negate Forest Rights?” (September 30, 2024), the E-Green Watch portal gives the appearance of a “bureaucratic maze”, frustrating efforts to trace and verify compensatory afforestation projects.

A study by Teri, on behalf of The Infravision Foundation, highlighted that not even 50 per cent of CA targets had been achieved by any state and for few

states like Bihar, Delhi, Mizoram, and Nagaland, the achievements were exceptionally low. It was also highlighted in the report that only seven states/Union Territories — Uttarakhand, Uttar Pradesh, Telangana, Odisha, Jammu & Kashmir, Delhi, and Haryana — had dedicated websites for maintaining records. In the analysis of land diversion and fund utilisation for Campa activities, a significant issue was identified — that the data uploaded across various platforms — such as e-Green Watch, Parivesh Portal, Annual Plan of Action (APO), Annual Reports, and Monitoring and Evaluation (M&E) documents — did not align. Key challenges identified include land unavailability and fragmentation, inefficient fund utilisation, and inadequate record maintenance. Furthermore, despite several initiatives aimed at compiling data, much of it remains outdated, inaccessible, or unavailable.

To enhance the implementation of Campa, five recommendations have been proposed.

First, improving data transparency is critical. States and Union Territories should upgrade Campa websites regularly to include comprehensive and up-to-date information, such as APOs, Monitoring and Evaluation reports, and expenditure details.

Second, states should focus on consolidating land to prevent fragmentation and establish land banks to identify degraded and fallow land suitable for afforestation efforts.

Third, capacity-building programmes for state forest departments should be introduced to enhance project planning, execution, and monitoring.

Fourth, afforestation efforts should also consider local ecological and climatic conditions to ensure sustainability, so that planted saplings do not die at early stages. Advancing research and development is necessary for innovation in afforestation techniques.

Fifth, engaging local communities in afforestation projects and developing benefit-sharing mechanisms can incentivise their participation and foster a sense of ownership.

In conclusion, it would be fair to say that the state of affairs in CA is far from satisfactory, and a comprehensive reset with greater transparency and public accountability is desirable. Only then will India’s rapid growth ambitions be balanced with appropriate sensitivity to ecological preservation.

The author is an infrastructure expert. He is also founder and managing trustee, The Infravision Foundation. Research inputs were provided by Teri and Vrinda Singh



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VINAYAK CHATTERJEE